

CITY OF PANAMA CITY PURCHASING POLICY AND PROCEDURES MANUAL

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CITY OF PANAMA CITY
PURCHASING POLICY AND PROCEDURES MANUAL

PURPOSE

The City of Panama City consists of multiple departments and hundreds of employees dedicated to serving the citizens of Panama City. All employees of the City have a responsibility to be found to be good stewards of the funds entrusted in their Departments and to the City. With this in mind, the City attempts to codify best practices through the use of the Purchasing Policy and Procedures Manual (the Purchasing Manual) and to assign responsibilities and accountability in an effort to achieve transparency, audit readiness and worthiness, each and every day. The City Manager has the responsibility to ensure the proper programs, procedures, and processes are in place to execute the policies set forth in this document. Through the Logistics Department, the City has identified the Purchasing Division as the agency responsible for oversight of and coordination of the City's central purchasing system. The central purchasing system promotes efficiency, economy, and fair and open competition to reduce the appearance and opportunity for favoritism or impropriety, and to promote public confidence that Purchase Orders and Contracts are awarded equitably and economically. It is essential for effective and ethical purchases and procurement that there be a system of uniform procedures utilized by all personnel, that establishes basic guidelines and procedures which regulate procurement activities, contract management, and the resulting distribution of funds.

Administrative changes or processing procedure portions of this Purchasing Manual may be amended when required by changes in law and/or minor procedural changes, i.e., flow of documents, internal department procedures, etc., with the review and concurrence of the Purchasing Manager, the Logistics Director, City Manager or designee, City Clerk, and the City Attorney or designee.

APPLICATION

1. **Contracts:** These guidelines apply to contracts/agreements solicited or entered after the effective date of this manual or subsequent amendments or revision.
2. **Activities:** These guidelines apply to the purchase/procurement of all materials, supplies, services, construction, and equipment except as specifically exempted herein.
3. **Statutes:** Any reference to a statute or its statutory language in this manual will mean the statute that is in effect after the effective date of this manual and any amendments that may be made from time to time. To the extent there is a conflict between this manual and the effective statutory language, the statute will prevail.

DEFINITIONS

AMENDMENT	The method of changing the terms, conditions, or requirements of a contract or agreement beyond what is specifically provided for in that contract or agreement. All amendments shall be approved with equal dignity and formality as the original contract signed by the individuals holding the positions of the original signatories: provided however, that any amendment which causes the total contract expenditure to exceed original signatory's amount, shall be approved by the appropriate signatory.
BEST AND FINAL OFFER (BAFO)	A process requested from one proposer or short-listed proposers for their best price(s) for a specific solicitation prior to determining of contract award. Sometimes referred to as BAFO.
BEST VALUE	The process used in competitive, negotiated contracting to select the most advantageous offer by evaluating and comparing factors in addition to cost or price.
CITY	Shall mean the City of Panama City, Florida.
CAPITAL IMPROVEMENT PROJECT	Construction or reconstruction in whole or in part of any building, road, highway, street, right-of-way, plant, structure, or facility and any other construction necessary in carrying out the functions of the City government.
CHANGE ORDER	A written order amending a purchase order to correct errors, omissions, or discrepancies in it, to cover acceptable cost over-runs and freight costs, to incorporate requirements to expand or reduce the scope of goods or services ordered, or to direct other changes in the contract execution to meet unforeseen circumstances including (but not limited to) field, emergency, climatic, regulatory, or market conditions.
COMPETITIVE SOLICITATION	The document used to obtain sealed bids or proposals for the purpose of entering into a contract.
CONSULTANT'S COMPETITIVE NEGOTIATION ACT (CCNA)	The official name for F.S. § 287.055, relating to the procurement of architectural, engineering,

	landscape architecture, mapping, and registered land surveying services. These professional services shall be procured by letters of interest and qualifications, and competitive selection and negotiation.
CONTRACT	A written agreement between two or more competent parties to perform or not perform a specific act or acts. Any type of agreement regardless of what it is called for the procurement or disposal of supplies, services or construction. In addition to bilateral instruments, contracts include (but are not limited to) job orders or task letters issued under basic ordering agreements; letter contracts; Purchase Orders, under which the contract becomes effective by written acceptance or performance; and bilateral contract modifications. The words "Contract" and "Agreement" may be used interchangeably.
CONTRACTOR	A person who contracts to sell commodities or contractual services to an agency.
CONTRACTUAL SERVICES	The rendering by a contractor of its time and effort rather than the furnishing of specific commodities. The term applies only to those services rendered by individuals and firms who are independent contractors, and such services may include, but are not limited to, evaluations; consultations; maintenance; accounting; security; management systems; management consulting; educational training programs; research and development studies or reports on the findings of consultants engaged thereunder; and professional, technical, and social services. "Contractual service" does not include any contract for the furnishing of labor or materials for the construction, renovation, repair, modification, or demolition of any facility, building, portion of building, utility, park, parking lot, or structure or other improvement to real property entered into pursuant to Chapter 255 of the Florida Statutes and rules adopted thereunder.
DESIGN-BUILD	The requirement for which a single contract with a Design-Build firm is entered into for the design and construction of a Capital Improvement construction project. Further, providing one single administrative

	entity (a firm as defined herein) responsible for design and construction under one contract where architectural and engineering services are performed by a registered architect or professional engineer and where construction services are performed by a certified or registered contractor.
DESIGN-BUILD CONTRACT	A single contract with a design-build firm for the design and construction of a Capital Improvement project.
DESIGN-BUILD FIRM	A partnership, joint venture, corporation or other legal entity which is certified under Florida State Statute 489.119 to engage in contracting through a certified or registered general contractor or a certified or registered building contractor as a qualifying agent, or is certified under Florida State Statute 471.023 to practice or to offer to practice engineering, or is certified under Florida State Statute 481.219 to practice or offer to practice architecture; or certified under Florida State Statute 481.319 to practice or offer to practice landscape architecture; or has among the principal parties to the legal entity a principal party which is certified under Florida State Statute 489.119 to engage in contracting through a certified or registered general contractor or a certified or registered building contractor as a qualifying agent.
EXTENSION	An increase in the time allowed for the contract period due to circumstances which, without fault of either party, make performance impracticable or impossible, or which prevent a new contract from being executed, with or without a proportional increase in the total dollar amount, with any increase to be based on the method and rate previously established in the contract.
INVITATION TO BID (ITB)	A written solicitation for competitive sealed bids with the title, date, and hour of the public bid opening designated and specifically defining the commodity, group of commodities, or services for which bids are sought. It includes instructions prescribing all conditions for bidding. The invitation to bid is used when the agency is capable of specifically defining the scope of work for which a contractual service is required or when the agency is capable of

	establishing precise specifications defining the actual commodity or group of commodities required.
INVOICE	A formal billing submitted by a vendor showing the amount due and terms of payment for materials and/or services rendered. Invoices must be itemized in sufficient detail to permit proper audit by the auditing body or department.
MAY	Denotes the permissive. However, the words "no person may..." means that no person is required, authorized, or permitted to do the act described.
MEMORANDUM OF UNDERSTANDING (MOU)	An agreement made between two or more parties that is not legally binding, but which outlines the responsibilities of each of the parties to the agreement. An MOU is often the first step toward creating a legally binding contract.
MULTI-STEP SOLICITATION	A method of source selection involving at least two competitive steps.
PRE-QUALIFICATION	The screening of potential vendors in which such factors as experience, financial capability, reputation, and management are considered in order to develop a list of qualified vendors who may then be allowed to submit bids/proposals. Pre-qualification is not a conclusive determination of responsibility, and a pre-qualified vendor may be rejected as non-responsible at a subsequent stage in the procurement process.
PROPOSAL	A written notice by a vendor setting forth the terms under which they will furnish supplies or services.
PUBLIC EMERGENCY	An accident or other unforeseen occurrence (natural disaster or man-made) or condition whereby circumstances affecting public buildings, public property or the life, health, safety, or property of inhabitants of a political subdivision are involved.
PUBLIC/PRIVATE PARTNERSHIP	Refer to F.S. 255.065.

PURCHASE ORDER	A formal notice to a vendor to furnish the supplies or services described in detail thereon.
PURCHASING	The act of obtaining supplies, equipment, or services necessary to carry out a particular function.
PURCHASING MANAGER	The person responsible for the organization's purchasing/procurement program. The Purchasing Manager is given the responsibility and authority to act for the City in certain areas.
QUALIFIED BIDDER	The vendor meets all qualifications set forth in the solicitation document.
RENEWAL	Contracting with the same contractor for an additional contract period after the initial contract period, only if pursuant to contract terms specifically providing for such renewal.
REQUEST FOR PROPOSAL (RFP)	A written or electronically posted solicitation for competitive sealed bids for goods and/or services for which the scope of work, specifications or contractual terms and conditions cannot reasonably be closely defined, or when the City is requesting that a qualified vendor propose goods and/or services or when the City determines that it is in the best interest of the City that the award be made after determining the response that is the best value and most advantageous to the City.
REQUEST FOR INFORMATION (RFI)	A written or electronically posted request made by an agency to vendors for information concerning commodities or contractual services. Responses to these requests are not offers and may not be accepted by the agency to form a binding contract.
REQUEST FOR QUOTE (RFQ)	An oral, electronic, or written request for written pricing or services information from a state term contract vendor for commodities or contractual services available on a state term contract from that vendor.
REQUESTING DEPARTMENT	The department originating the written or electronic

request to the Purchasing Division. The requesting department shall approve the Request for Qualifications, RFP, etc. and any addendum prior to posting to the public.

REQUISITION A written or electronic request to the Purchasing Division for one or more items or services necessary to perform or improve a particular function.

RESPONDENT A person or entity who submits an offer in response to a solicitation. May also be referred to as proposer, offeror, or bidder.

RESPONSE Any response of a respondent to a solicitation, which may include, as context requires, bids, offers, proposals, quotations, or other responses.

RESPONSIBLE RESPONDENT An individual or business which has submitted a bid, offer, proposal, quotation, or response which, as determined by the city, has the capability in all respects to perform fully the contract requirements and the experience, integrity, reliability and capacity, facilities, equipment, and credit which give reasonable assurance of good faith and performance. The city may also consider and give weight to the respondent's previous conduct and performance under previous contracts with the city and other agencies (including but not limited to delinquency) and determine the quality of the respondent's previous work. City staff may, after bid opening, request additional information from the respondent concerning his ability to perform and the respondent may voluntarily, after opening, provide additional or corrective information concerning his responsibility as respondent.

RESPONSIVE RESPONDENT An individual or business which had submitted a bid, offer, proposal, quotation, or response which, as determined by the city, conforms in all material respects to the solicitation which may include but is not limited to pricing, surety, insurance, specifications of the goods or services requested, or any other matter unequivocally stated in the invitation for bids as a determinant of responsiveness. A lack of conformity in these matters which is non-substantive in nature may be

	considered a technicality or irregularity which may be waived by the city. The Purchasing Division will notify any respondents of any non-substantive informalities in their response. The respondent will have twenty-four (24) hours from the time of the notification to furnish the requested information to the Purchasing Division. If the opening is on a Friday, they will have until Monday (5:00pm CT) to reply. If no response is received within twenty-four (24) hours of the notification, the respondent will be deemed non-responsive.
RESPONSIVE BID	A bid or proposal which conforms in all material respects to the competitive solicitation.
SOLE SOURCE	The only source of service or product relative to kind and availability.
SPECIFICATIONS	A written description of needed supplies, equipment or services setting forth in a clear and concise manner the characteristics of the items and/or services to be purchased and the circumstances under which the purchase will be made.
SPLIT PURCHASE	Using multiple transactions for a single purchase to circumvent the purchasing guidelines.
STATE TERM CONTRACT	A term contract that is competitively procured by the Florida Department of Management Services pursuant to Florida Statute 287.057 and that is used by the City and/or other eligible users.
TASK ORDER	An order for services placed against an established contract.
TERM CONTRACT	An indefinite quantity contract to furnish commodities or contractual services during a defined period.
VENDOR	A supplier of goods or services.

CODE OF ETHICS AND CONDUCT

All employees are required to maintain high standards of ethics and conduct. Purchasing officials shall strive to maintain complete independence and impartiality in dealings with vendors to preserve the integrity of the competitive process and to promote public confidence that Purchase Orders and contracts are awarded equitably and economically.

Each employee involved in purchasing shall read and follow the requirements of Chapter 112, Part III, Florida Statutes.

For the purpose of this section:

1. "Restricted individuals" are City reporting individuals within the meaning of section 112.3148(2)(d) and employees and agents of the City that would otherwise meet the definition of a procurement employee within the meaning of section 112.3148(2)(e).

2. "Immediate family" means any parent, spouse, child, sibling, in-law (father, mother, daughter, or son) or domestic partner of a restricted individual.

3. "Employer" means any business or organization which employs a restricted individual or their immediate family in a managerial capacity, or any business or organization for which a restricted individual or their immediate family serves as an officer, agent, partner, or similar capacity. It shall not include a nonprofit organization for which a restricted individual or their immediate family serves as an officer without compensation.

4. "Conflict of interest" means a circumstance in which any restricted individual, any member of his or her immediate family, or any employer of the foregoing, shall be financially interested or have any personal beneficial interest, directly or indirectly, in any purchase or contract of any supplies, materials, equipment, or services used by or furnished for the city.

    A. Restricted individuals shall recuse themselves from the selection, award, or administration of any City procurement in which they have a conflict of interest and shall disclose to their supervisor the nature of the conflict of interest. Restricted individuals who are appointed or elected public officials shall disclose, in writing, their conflict of interest on the Commission on Ethics forms promulgated for such purpose.

    B. Restricted individuals and their immediate family are prohibited

from accepting or receiving from any City vendor or lobbyist any money, rebate, gift or anything of value or any promise, obligation or contract for future reward of compensation exceeding the amount of $25.00. In the event a pre-existing relationship exists, that amount shall not exceed $250.00 and the gift shall not be due to or in any way relevant to the employee's position within the City.

- Additionally, free attendance is allowable for a widely attended gathering (WAG) or event and is not considered a gift.
- A gathering (or event) is considered "widely attended" if it is expected that one of the bellow descriptions applies:
    - A large number of persons will attend, usually 25 or more persons and the invitation was disseminated broadly;
    - Persons with a **diversity of views or interests** will be present (e.g., if it is open to members from throughout an interested industry or profession); and
    - There will be an **opportunity to exchange ideas and views** among invited persons or the event (or meeting) is educational in nature and purpose.

C. Notwithstanding the foregoing, with respect to restricted individuals who are only restricted individuals because of their appointment to a City board without compensation, the restrictions contained in section (B) and (C) shall only relate to contracts, vendors, and lobbyists related to the work of their board.

D. As required by Title 2 of the Code of Federal Regulations (CFR) 200.112, Conflict of Interest and 200.318(c)(1), General Procurement Standards, the City has designated the City Manager as the reporting official for all instances of real or apparent conflicts of interest. Any employee, officer, or manager of the City who has knowledge or suspicion of a conflict of interest will report this to their immediate supervisor who will then report the instance to the City Manager to further evaluate. In the case that the conflict of interest involves the employee, officer, or manager's immediate supervisor, the employee may report the instance to the next person in the City's hierarchy or directly to the City Manager. In the governance of performance of its employees engaged in the selection, award and

administration of contracts associated with federal awards, the City will ensure that no employee, officer, or manager participates in the aforementioned activities if they have a real or apparent conflict of interest. If the City Manager has determined that a real or apparent conflict of interest has occurred, disciplinary action, at a level consistent with the nature of the event and at management's discretion, will be taken to ensure that the conflict is eliminated, and that the City is not at risk for reoccurrence. The City Manager will submit in writing the nature and extent of any potential conflict of interest to the federal awarding agency as well as any actual conflict of interest that has occurred.

The following individuals are required to file a Statement of Financial Interests no later than July 1st of each year and should discuss with the City Attorney if there are any questions:

Local Officers, s. 112.3145(1)(a), F.S.
Every person elected to public office or appointed to fill a vacant elected office.

Any appointed member of the following boards:

- Councils
- Commissions
- Authorities or other bodies of any:
  - Municipality,
  - Independent special district, or other political subdivision of the State
  - Appointed members of a governing body of a political subdivision
  - Local Enforcement Board
  - Planning or Zoning Board
  - Board of Adjustment
  - Board of Appeals
  - Community Redevelopment Agency Board
  - Other boards having the power to recommend, create, or modify land planning or zoning (except for citizen advisory committees, technical coordinating committees and those who only have the power to make recommendations to planning or zoning boards).
  - Pension or Retirement Boards having the power to invest
  - Anyone appointed to a local government board where the appointing authority or law requires a statement of financial interests.

Any person holding the following position:

- Mayor
- City Manager
- Chief administrative employee of a municipality, or other political subdivision
- Municipal attorney
- Finance director of a municipality, or other political subdivision

- Chief municipal building code inspector
- Municipal water resources coordinator
- Municipal pollution control director
- Municipal environmental control director
- Municipal administrator (with power to grant/deny a land development permit)
- Chief of police
- Fire chief
- Municipal clerk
- Purchasing agent exceeding CATEGORY TWO (over $35,000)

DUTIES AND RESPONSIBILITIES

ACCOUNTING DEPARTMENT

The Accounting Department shall be responsible for confirming each item presented to the department for payment has the proper general ledger codes applied, the proper documentation attached, and that it has received the proper approvals. The Accounting Department is also responsible for obtaining the proper W-9 forms from the requesting department.

PURCHASING DIVISION

1. The Purchasing Manager shall be responsible for developing and administering the purchasing program for the City of Panama City.
2. The Purchasing Division shall cooperate with City Departments and Divisions in the procurement of supplies and equipment and shall maintain adequate records necessary to create an audit trail for Purchasing transactions.
3. The Purchasing Manager, in conjunction with the Logistics Director, has authority for issuing and setting spending limits on City Purchase Cards (P-Cards) issued to City Employees, in accordance with provisions established by the VISA Purchasing Card Agreement and the P-Card Policy.
4. The Purchasing Division will assist the requesting department in soliciting quotes where formal bidding is not required.
5. The Purchasing Division has the sole authority for issuing purchase orders. Purchase Orders will be required for all purchases over $3,499.99 unless the procurement of goods or services is governed by a written contract, follows a rule for exemption (as defined on page 25-27 of this policy) or is an emergency as determined by the City Manager or their designee.
6. Although Purchase Orders are preferred, City P-Cards may be used for purchases up to $3,499.99 and must follow the P-Card Policy.
7. The Purchasing Division shall issue a purchase order number to the selected vendor.
8. The Purchasing Division shall maintain a detailed database of all City contracts, leases, and agreements.
9. The Purchasing Division, in cooperation with the City's Accounting Department, will strive to take advantage of discounts offered by vendors for early and prompt payments of invoices.
10. The Purchasing Division shall maintain all original competitive solicitation documents,

including any necessary pre-qualification documents. Copies of the original competitive solicitation documents will be provided upon request to the applicable department upon completion of the award and contract execution. Original competitive solicitation documents shall not be attached as exhibits to subsequent or resulting contracts, leases, or agreements.

11. The Purchasing Division shall verify that insurance and bond information are valid throughout the life of the contract.

REQUESTING DEPARTMENT

1. The requesting department is the Department originating the purchase, procurement, and requisition of commodities and/or services.
2. Departments are responsible for following the Purchasing Manual. Department Directors may establish internal operating procedures to fully implement the Purchasing Manual, so long as such procedures are consistent with the Purchasing Manual.
3. Departments will follow the Purchasing Manual supplied by the Purchasing Division for procuring services, equipment and/or supplies.
4. Department Directors are responsible for ensuring that sufficient budgetary funds are available for all expenditures made by a contract, purchase order, and City credit cards.
5. Departments shall monitor the City P-Card purchases of its employees
6. Departments shall formulate specifications or the scope of work, including any pre-qualification requirements, for competitive bids or requests for proposals or qualifications, to include any terms and conditions specified in related funding documents (i.e. Federal and State grant funding).
7. Departments will verify, when a low bidder proposes an equal item to that specified, that the equal is in fact a comparable item and will provide documentation of such to the Purchasing Division.

VENDOR POLICIES

1. Full and Open Competition
   It is the intent of the City to provide all vendors, with the exception of those on the State Department of Management Services Convicted Vendor List, with a fair and impartial opportunity in which to compete for the City's business.

2. Public Entity Crime: Denial and Revocation of Rights
   In accordance with F.S. 287.133, any entity listed on the State Department of Management Services Convicted Vendor List shall be denied the right to conduct business or render any type of service for any City Department to the extent required by the debarment, suspension, or other determination of ineligibility by the State.

3. Suspension and Debarment
   A. Suspension. After consultation with the City Attorney and the Logistics Director, the Purchasing Manager is authorized to suspend a vendor from consideration for award of contracts if there is probable cause to believe that

the vendor has engaged in any activity which might lead to debarment pursuant to section (C) below. The suspension shall be for a period not to exceed six (6) months.

B. Debarment. After reasonable notice and an opportunity for the suspended vendor to be heard, the City shall either debar such vendor or terminate the suspension. The debarment should be for a period of not more than three (3) years.

C. Grounds for debarment include:
   (1) Entry of a plea of guilty, or no contest, or nolo contendere to, or conviction of a criminal offense as an incident to obtaining or attempting to obtain a public or private contract or subcontract, or in the performance of such contract or subcontract; or
   (2) Entry of a plea of guilty, no contest, nolo contendere to, or conviction under State or Federal statutes of embezzlement, theft, forgery, bribery, falsification, or destruction of records, receiving stolen property, or any other offense indicating a lack of business integrity or business honesty; or
   (3) Entry of a plea of guilty, no contest, or nolo contendere to, or conviction under State or Federal antitrust statutes arising out of the submission of bids or proposals; or
   (4) Violation of contract provisions, as set forth below, the character which is regarded by the City to be so serious as to justify debarment action:
      a.) Deliberate failure without good cause to perform in accordance with the specifications or within the time limit provided in the contract; or
      b.) A past record of failure to perform or of unsatisfactory performance in accordance with the terms of one or more contracts.
   (5) Having been adjudicated guilty of any violation of the City of Panama City Municipal Code and/or Land Development Regulations or the State of Florida Construction Industry Licensing Department within the past twelve (12) month period prior to the time of bid submittal; or
   (6) Having been adjudicated guilty by the City of Panama City Municipal Code or the Department of Environmental Protection of any violation of an environmental ordinance within the past six (6) month period at the time of bid submittal; or
   (7) Having been disqualified or found non-responsive, based on the vendor's fraud or disqualification; or
   (8) Having been adjudicated insolvent, having proceedings in bankruptcy instituted against it, or having a receiver or trustee appointed over its property; or
   (9) Being in a proceeding (i.e., court proceeding, arbitration, or administrative proceeding) adverse to the City arising from or related to the vendor's performance of a contract with the City, or having

unresolved financial claims pending by or against the City for a period of more than sixty (60) days; or

(10) Having been suspended or debarred by any other government entity; or incurred any fines or penalties from the FDEP, EPA or OSHA.

(11) Any other cause the City of Panama City determines to be so serious and compelling as to affect responsibility as a City vendor, including, but not limited to, debarment by another governmental entity.

D. Notice of decision. The City Manager or designee shall issue a written notice to the vendor of the decision to debar or suspend. The final decision shall state the reasons for the action taken and inform the debarred or suspended person or entity involved of their rights concerning judicial review by certiorari appeal to the Fourteenth Judicial Circuit Court in and for Bay County. The written decision shall be mailed or otherwise furnished immediately to the debarred or suspended vendor.

4. Reinstatement

Vendors that have been suspended from doing business with the City may be reinstated upon written request; however, debarred, or suspended firms shall not be reinstated during the period of a debarment or suspension.

5. Litigation and Arbitration

The City Staff shall not issue any Purchase Orders or contracts to any vendors currently involved in litigation or arbitration with City of Panama City until such time as a satisfactory resolution is reached with such vendors.

6. Dispute Resolution

In the event a dispute occurs between a vendor and a Department, and the dispute cannot be resolved, the following procedures shall apply:

A. The vendor shall submit a written statement via certified mail no later than forty-five (45) days from the time when the invoice was submitted to the City specifying the nature of the dispute regarding payment of the invoice.

B. Within five (5) business days of the receipt of the written statement submitted by the vendor, the appropriate Department Director or Project Manager shall investigate the dispute and submit a decision to the City Manager.

C. Within five (5) business days of the receipt of the written decision, the City Manager will review the dispute and make a final decision on the matter. The Purchasing Manager will notify the vendor in writing, via certified mail and within five (5) business days of the date of the final decision.

PURCHASING AUTHORITY

Purchasing authority identifies who must approve the purchase of goods and services up to a dollar threshold amount and when a purchase must be brought before the City of Panama City Commission for approval and award.

Department Director / Senior Manager / Assistant Director / Deputy Director	Not to Exceed $20,000
City Clerk - Treasurer	Not to Exceed $20,000
Assistant City Manager	Not to Exceed $50,000
City Manager	Not to Exceed $100,000
City of Panama City Commission or Designee	Over $100,000

The purchasing authorities stated in this section shall apply to each individual project as described in a task order that is issued pursuant to a continuing professional services contract as defined in Section 2(g) of 287.055, Florida Statutes.

CONTRACTS, LEASES AND AGREEMENTS SIGNATURE AUTHORITY*

Assistant City Manager	Agreements for up to $50,000
City Manager	Agreements for up to $100,000
City of Panama City Commission or Designee	Agreements over $100,000

*All contracts, leases, and agreements, regardless of amount, must be reviewed by the Purchasing Division, the City Attorney or designee and the City Manager or designee prior to signature. All continuing professional services contracts as defined in Section 2 (g) of 287.055, Florida Statutes, shall be approved by the City Commission.

PURCHASING CATEGORIES: REQUIREMENTS

The following categories establish requirements for purchases by amount (exclusive of RFP and Request for Qualifications). Each order must be signed by the appropriate approval authority.

Orders up to $3,499.99	• Purchase Order - a written estimate or quote is required for purchase verification. OR • P-Card – receipt required or in accordance with the P-Card Policy herein. • Best practices should be implemented and used to ensure a comparable price.
Orders $3,500 up to $100,000	• Minimum Quote Certification Form with three (3) **comparative** quotes in digital or written form from separate vendors are required. • Purchase Order
Orders over $100,000	• **Competitive** Solicitation Procedures required. • Purchase Order

EXCEPTIONS

EMERGENCY PURCHASES

Emergency: An immediate need for equipment, services, or commodities, the lack of which would cause a disruption of essential operations where the protection or preservation of public properties or interests would not be possible through normal purchase procedures or where there exists a threat to public health, welfare, or safety.

An emergency condition, as determined by the City Manager or designee, in consultation with the City Attorney and City Clerk, is one that creates an immediate and serious need for materials, services, or construction that cannot be met through normal purchasing methods and that seriously threatens the functioning of the City or the protection of property or the health or safety of any person.

Emergency purchases are for critical, unforeseen government needs. Because the City's ability to serve the public would be impaired if purchases are not made immediately, emergency purchases are exempt from standard purchasing procedures.

When an emergency occurs, the need for quotes will be eliminated; however, a written explanation must be indicated on the purchasing request or memorandum that follows.

1. If the product or service is under $200,000, obtain the City Manager's authorization. Once authorization has been received, submit a request to the Purchasing Division and obtain a Purchase Order, call the vendor to initiate services or arrange taking possession of equipment or commodities. Immediately or as soon as feasible, submit a copy of the invoice, delivery ticket and/or the irregular purchase form to the Purchasing Division.
2. In the event the emergency expenditure exceeds $200,000, follow the same procedures outlined in item 1 above, and prepare an agenda item and/or resolution for City Commission approval prior to payment for the products or services purchased.
3. In extreme cases involving a disaster, an emergency declaration will be made. Every reasonable effort will be made to ensure purchases will be documented through proper City, State, or Federal forms, or memorandum. Refer to Disaster Procurement Policy section below.

An emergency created through neglect will not be processed as an emergency. Examples of such neglect include, but is not limited to:

1. Depletion of stock due to lack of planning.
2. Building or equipment needing repairs for some time, suddenly becoming an emergency repair.
3. Orders of materials for projects, most of which must be planned weeks or months ahead of time and requested just before desired use.

DISASTER PROCUREMENT POLICY (FEDERAL)

1. **PURPOSE** - This policy modifies the City of Panama City's normal purchasing/procurement practices to assure that, in both emergency and exigent circumstances caused by a proclaimed disaster or emergency condition, the City is able to acquire the goods and services required to address an immediate threat to life, public health, or safety, or to eliminate/reduce an immediate threat of significant damage to improve public and private property through cost-effective measures while still maintaining an effective purchasing process and complying with applicable local and state purchasing

laws. Where the City is included in a major disaster or emergency declared by the President of the United States, this policy also assures that City procurements comply with Federal regulations applicable to FEMA disaster grant reimbursement as defined in Title 2 of the Code of Federal Regulations, Part 200. (2CFR Part 200)

2. **DEFINITIONS:**

For the purposes of this policy,

A. A proclaimed disaster or emergency exists if the Governor of Florida has declared a state of emergency for an area which includes the geographic territory of the City of Panama City; or

B. The Chief Executive Officer (Mayor, City Manager, or designee) of the City of Panama City has declared an emergency in the City. Exigent Circumstances are short-lived situations in which:

(1) A disaster or emergency has been proclaimed,

(2) The public exigency for goods and services required to address an immediate threat to life, public health, or safety, or to eliminate/reduce an immediate threat of significant damage to improved public and private property through cost-effective measures, will not permit competitive solicitation.

3. **DELEGATIONS OF PURCHASING AUTHORITY IN EXIGENT CIRCUMSTANCES**

A. **Delegation -** If the City Manager determines that goods and services must be purchased before the City Commission is able to assemble and approve purchases, the City Manager has the authority, subject to the limitation set forth in subparagraph a(i) and a(ii), to approve the immediate rental or purchase of any equipment, supplies, services or other items necessary to respond to an immediate threat to life, public health, or safety, or to eliminate/reduce an immediate threat of significant damage to improved public and private property through cost-effective measures.

(1) **Limits of Single Purchase Authority -** The City Manager, shall have the authority to make individual purchases of up to $200,000 on their signature alone.

(2) **Limits of Aggregate Purchase Authority -** The City Manager shall have the authority to make aggregate purchases of up to $500,000 on their signature alone.

B. **Sub-Delegation to the Assistant City Manager -** The Assistant City Manager shall be a designee of the City Manager at any time that the City Manager is not available to approve purchases as allowed in this section.

C. **Sub-Delegation of Purchasing Authority -** If neither the City Manager or the Assistant City Manager is available, the following department heads have authority to rent or purchase from the nearest available source any equipment, supplies, services, or other items necessary for this or the department to respond to an immediate threat to life, public health, or safety, or to eliminate/reduce an immediate threat of significant damage to improved public and private property through cost-effective measures, up to a maximum of $200,000.

(1) **Department Heads:**

Police Chief
Fire Chief
Public Works Director
Logistics Director

4. **ADMINISTRATIVE PROCEDURES:** *Reporting Requirements.*

A. As soon as possible after purchases are made, the City Manager, Assistant City Manager, or Department Director shall submit to the Purchasing Manager a request and a notation that the commodity has been ordered on an emergency basis or in exigent circumstances from the vendor designated.

B. The Purchasing Manager will inform the City Manager, the Logistics Director, the City Attorney, and the City Commission of any individual purchase under this section with a contract amount greater than $100,000, and also whenever the aggregate of purchases under this section is greater than $250,000.

C. The Purchasing Manager will obtain the City Manager's (or Assistant City Manager as the City Manager's designee) approval prior to any purchase by a department head if the amount is $100,000 or more.

D. If the City Manager/Assistant City Manager is unavailable, and the delay in getting their signature would imperil life, safety, or improved property, any of the department heads as listed in 3(C)(1) above may approve the emergency purchase of $250,000 or more.

E. The Purchasing Manager shall have the authority to approve all disaster-related purchases under $100,000.

F. The Purchasing Manager will expedite the verification of funds available and complete the preparation of the purchase order.

5. **PURCHASING PROCEDURES IN EXIGENT CIRCUMSTANCES**

Upon receipt of requisitions under Section 3, the Purchasing Manager shall prepare purchase orders for the emergency equipment, supplies, services, or other items in accordance with the requirements of this section.

A. **Exempt Purchases -** Purchases below $100,000 shall not be required to be formally bid. Purchases greater than $100,000 may be made following the procedures specified in this section. The signature(s) of the City Manager, Assistant City Manager, Purchasing Manager, and/or Department Director are still required as provided in Section 3.

B. **Justification of Sole Source <u>or</u> No-bid Contracts -** Where exigent circumstances require immediate purchase from the nearest available source. Federal procurement requirements apply to sole-sourcing or No-bid contracts even under exigent or emergency circumstances. Those requirements include:

(1) Contracts must include the required contract clauses (2 C.F.R. § 200.326 & Appendix II)

(2) Contracts exceeding the Federal simplified acquisition threshold ($250,000) must include the Federal bonding requirements if the contract is for construction or facility improvement (2 C.F.R. § 200.325).

(3) Contracts must be awarded to a responsible contractor (2 C.F.R. § 200.318(h)).

(4) The City must complete a cost or price analysis to determine whether the cost or price of the contract is fair and reasonable if the contract exceeds or is expected to exceed the Federal simplified acquisition threshold (2 C.F.R. § 200.323(a) and (b)).

(5) The use of cost-plus-percentage-of-cost contracting is prohibited (2 C.F.R. §

200.323(c)).

(6) Use of time and materials contracts must comply with 2 C.F.R. § 200.318(j).

(7) The City must follow documentation, oversight, and conflict of interest requirements among other general procurement requirements in 2 C.F.R. § 200.318. If a conflict of interest is unavoidable due to the exigent/emergency circumstances, the City must explain that in the procurement documentation.

C. The Purchasing Manager shall use the "Justification Form for Emergency Sole Source or No-Bid Purchase" to document Federal requirements are met.

Purchasing should be limited to that portion of the work that must be performed immediately, allowing subsequent procurement by competitive proposals of the remainder of the work.

"Sole source" or "no-bid" acquisitions shall be necessary for one of the following reasons: placement of emergency protective measures, procurement of scarce commodities, goods, or services, or acquisition or rental of emergency equipment, emergency consulting services, emergency road clearance or other emergency requirements.

6. **Provision for Alternate Bid Solicitation Procedures –** The City's normal requirements for sealed bids shall not apply to acquisitions under this Section. However, the Purchasing Manager shall conduct written, telephonic, or other electronic bid solicitation from potential vendors or suppliers, in lieu of sealed bids, in an effort to obtain multiple competitive proposals when and if time allows in light of the exigent circumstances.
7. **Locations of Postings for Request for Proposals or Invitation to Bids –** The Purchasing Manager may waive normal requirements for public posting of requests for proposals or solicitation of bids. Notices soliciting bids or requests for proposals shall be posted at City Hall if practical.
8. **Length of Time for Posting Requests –** The Purchasing Manager may shorten the normal bid period to expedite the award of contracts for emergency equipment, goods, or services. The Purchasing Manager should seek to assure that the shortened bid period allows multiple suppliers to submit bids.
9. **Number of Bids Required –** Solicited bids that are non-responsive shall count towards the minimum number of bids required when there is a declared emergency or disaster in the Jurisdiction. All such no-bids must be documented as to time, date, and person/company contacted, with a reason for no-bid, if possible.
10. **NOTIFICATION AND RATIFICATION**

A. **Posting of Contracts and Awards –** Under this section, all contracts awarded that exceed $200,000 shall be presented to the City Commission for ratification and publicly posted within sixty (60) calendar days.

B. **Authority to Cancel Emergency Procurements –** The City has the absolute authority to rescind a contract for non-performance within twenty-four (24) hours when a contractor or vendor, once awarded a contract, is unable to perform under the terms of the contract and the resulting delay or non-performance presents an immediate threat to life, public health, or safety, or an immediate threat of significant damage to improved public and private property.

C. **Notification Requirement for Emergency Purchases –** For any purchase in excess of $100,000, but less than $200,000, the Purchasing Manager shall report all such purchases, through the City Manager, to the City Commission within sixty (60) calendar days of the onset of the disaster.

D. **Requirement for Separate Invoicing -** All purchases or rentals made during proclaimed emergency or disaster conditions shall require separate invoicing from routine (non-disaster related) purchases. All invoices shall state the goods, services or equipment provided and shall specify where the goods or services were delivered. All invoices shall specify the locations where the goods or services were used, if possible.

E. **Auditing of Invoices for Debris Clearance Prior to Payment -** All invoices for debris clearance and removal shall be audited by the City prior to payment to the vendor. Vendors shall be notified of this requirement prior to the awarding of any contract for debris clearance and/or removal. Audits shall be in accordance with procedures for debris removal monitoring specified in FEMA's Publication 325, Debris Management Guide.

F. **Limitations of Disaster Purchasing Policy -** For the purposes of this section, an emergency or disaster shall be deemed to exist when a condition exists that presents an immediate threat to life, public health, or safety, or to eliminate/reduce an immediate threat of significant damage to improved public and private property through cost-effective measures and a local emergency or disaster has been proclaimed. Any purchases that do not meet the standard of being necessary for responding to an immediate threat to life, public health, or safety, or to eliminate/reduce an immediate threat of significant damage to improved public and private property shall follow the City's regular purchasing provisions.

Notwithstanding the terms of this policy, nothing contained herein shall conflict with Federal procurement regulations as currently defined in 2 CFR Part 200.

11. **OTHER EXCEPTIONS:**

Items approved by the City Commission as a budget line item do not require approval if purchased from a State Term Contract or other authorized cooperative agreement that has been competitively procured.

EXEMPTIONS

The following exemptions do not preclude the City from utilizing competitive purchasing or procurement practices. The following types of purchase activities shall be exempt from the purchasing guidelines:

1. Purchasing contracts between the City of Panama City and non-profit organizations, other governments, or other public entities.
2. Purchasing of dues and memberships in trade or professional organizations.
3. Purchases made from petty cash accounts under $50.
4. Any purchase under the State of Florida purchasing agreements and contracts. Purchases may also be through contracts competitively awarded by counties or municipalities within the state if the vendors agree to provide City of Panama City the same goods or services, under the same conditions, terms, and prices.
5. Purchase of goods and services as part of the process of apprehending persons suspected of violating the law.
6. Books, periodicals, and other published materials not available by competitive pricing.
7. Services of attorneys and other legally related services, including legislative consultants. Contracts for attorney services and other legal services shall be secured by negotiation of the City Attorney as approved by the City of Panama City Commission.

8. Appraisers and expert witnesses, and similar services; sale, acquisition, or lease of real property; real estate brokers; title insurance, abstracts or opinions or title commitments; surveys in connection with acquisition, sale, or lease of real property. Contracts for these services shall be negotiated by the City Manager or the City Attorney and approved by the City of Panama City Commission.
9. Real Estate Purchase Agreements in which the City is acquiring an interest in real property for less than the appraised value.
10. Service/Maintenance Contracts: Continuing service and/or maintenance contracts that are initially awarded by the City as part of a product acquisition/installation to a vendor who is the manufacturer, developer, or who is the authorized service agent thereof and for which funds are annually appropriated in the budget, are exempt from further competitive requirements. Examples are software/hardware maintenance, building systems maintenance, security systems, etc.
11. Software, upgrades, software modification services by the copyright holder, and related software enhancements to installed software purchased through competitive means are exempt. The purchase of new software packages or systems or any related hardware shall follow the thresholds and procedures of the policy to ensure competitive selection and receive advance approval from the Information Technology (IT) Division Manager or designee.
12. Pharmaceutical products and health services involving examination, diagnosis, treatment, prevention, medical consultation, or administration. Including, but not limited to, substance abuse and mental health services, involving examination, diagnosis, treatment, prevention, or medical consultation, when such services are offered to eligible individuals participating in a specific program that qualifies multiple providers and uses a standard payment methodology. Reimbursement of administrative costs for providers of services purchased in this manner shall also be exempt. For purposes of this sub-subparagraph, “providers” means health professionals, health facilities, or organizations that deliver or arrange for the delivery of health services.
13. Training and educational courses, meeting rooms, and hotels; continuing education events or programs; and lectures by individuals.
14. Advertisements; works of art for public display; performances, shows or other cultural events.
15. Payroll, personnel, full or part-time, whether in the classified service or not.
16. Water, sewer, gas, electrical, cable television, telephone, fiber, or other utility services.
17. Agreements between the City and other entities for grants and incentive programs approved by the City of Panama City.
18. Travel arrangements and expenses.
19. Petroleum products (fuel and oil).
20. Procurement of general accounting services and banking services for any bond or loan issuance, refund, or other related activities.
21. Purchases of insurance coverages for the City.
22. Purchases made with the proceeds from any grant, gift, bequest, or donation to the extent the application of this chapter would conflict with the requirements, conditions, or limitations attached to the grant, gift, bequest, or donation.
23. Any other professional service or consulting service that does not require procurement by State Statute or have State and Federal grant requirements.

These exemptions shall not apply to any purchase governed by explicit provisions of general law or other City ordinance or policies unless the solicitation indicates the applicability of the exemption, and the exemption shall apply only to the extent set out in the solicitation.

GRANT FUNDED PROCUREMENT AND CONTRACTING

This procedure shall be a general guideline for externally funded purchases and sub-recipient contracts. Funding sources may include State and Federal grants. Recognizing that each grant will have its own terms, conditions and contingencies, the guideline below is not inclusive of all requirements or steps that may be required of the user Department (or any of its Divisions) for regulatory compliance. Awarded grants must be accepted and approved by the City Commission as well as any accompanying budget amendments before Departments may begin executing any procurement of good or services.

1. DEPARTMENTAL PRE-PROCUREMENT/CONTRACTING ACTIVITIES

    A. Grant applications shall be the responsibility of the user Department.

    B. The Department shall conduct analysis to determine if the contract relationship is a Contractor/Supplier or Sub-Recipient. This analysis shall be based on program requirements and regulatory definitions (if applicable). Concurrence from the City Attorney is strongly encouraged to ensure the appropriate contract format is selected.

2. SUBMITTAL REQUIREMENTS - DOCUMENTATION

    A. It is the Department's responsibility to understand the grant and to communicate special requirements impacting purchasing/contracting to the Purchasing Division. The Department shall be particularly aware of prohibited practices, sole source, and emergency limitations. All requirements impacting the purchase shall be communicated to the Purchasing Division at the time of submittal.

    B. For any federally assisted construction contract, the Department shall provide a Davis-Bacon Prevailing Wage Validation.

    C. Departments shall factor the following into their analysis:

        (1) The competitive thresholds associated with Federal procurements are distinct from the City's competitive thresholds.

        (2) Geographic requirements may be disallowed.

        (3) Additional marketing to small or disadvantaged business segments may be required.

        (4) Sole sources and emergencies may be subject to the validation/approval of the external funding source.

        (5) In procurements where Federal grant funds are a consideration and the contract value exceeds $10,000, the non-Federal entity must negotiate profit as a separate element of the price for each contract in which there is no price competition and, in all cases, where cost analysis is performed, including but not limited to all contract modifications. To establish a fair and reasonable profit, consideration must be given to the complexity of the work to be performed, the risk borne by the contractor, the contractor's investment, the amount of subcontracting, the quality of its record of past performance, and industry profit rates in the surrounding geographical area for similar work. A cost analysis may be required to accompany a Sole Source Procurement unless otherwise waived by the Funding Agency.

(6) Pre-qualification may be disallowed.

(7) Piggybacking is disallowed.

(8) Compliance with Davis-Bacon Prevailing Wage determinations may be required for construction projects.

(9) Cost-plus pricing structure may be disallowed.

(10) Brand specific requirements and/or standardizations may be disallowed.

(11) Adequate competition, as defined by the funding source, may not consider “no-quotes” as quotes and may specify a minimum number of responses.

(12) For federally funded procurements only, the City **must** take all necessary affirmative steps to assure that minority businesses, women's business enterprises, and labor surplus area firms are used when possible. Affirmative steps will include:

a.) Placing qualified small and minority businesses and women's business enterprises on solicitation lists, thereby assuring that small and minority businesses, and women's business enterprises are solicited whenever they are potential sources;
b.) Dividing total requirements, when economically feasible, into smaller tasks or quantities to permit maximum participation by small and minority businesses, and women's business enterprises;
c.) Establishing delivery schedules, where the requirement permits, which encourage participation by small and minority businesses, and women's business enterprises;
d.) Using the services and assistance, as appropriate, of such organizations as the Small Business Administration and the Minority Business Development Agency of the Department of Commerce; and
e.) Requiring the prime contractor, if subcontracts are to be let, to take the affirmative steps listed above.

3. COMPLIANCE REQUIREMENTS

A. Departments shall be responsible for:

(1) Complying with cost principles for the initial procurement and all change orders.

(2) Development of independent estimates, if applicable.

(3) Development of price analysis/cost analysis, if applicable.

(4) Providing the Purchasing Manager with any Notices of Award, after-the-fact conditions or Modification of Award documents for the life of the grant.

(5) Monitoring sub-recipients.

(6) Risk Assessments.

(7) Producing outcomes.

(8) Grant file close-out.

(9) All non-procurement related deliverables and requirements of the grant.

(10) Compliance with all City of Panama City administrative regulations concerning grants and contract administration as well as processing of all budget amendments and agenda requests.

AUTHORITY TO SETTLE CERTAIN TYPES OF CLAIMS

1. The City Manager, in addition to any authority previously delegated to them, is hereby delegated authority to negotiate and compromise settlements of routine claims, litigation, administrative matters and liens, for and against the City of Panama City, with outside parties, and to execute releases and satisfactions of judgments and other liens so long as the payment by the City from non- insurance proceeds does not exceed his/her purchasing authority. These settlements include, but are not limited to:

    A. Attorney's fees and court cost claims arising from actual or potential litigation;
    B. Real property actions, such as eminent domain, inverse condemnation, property, and easement acquisition;
    C. Contract disputes;
    D. Garnishment actions;
    E. Billing and collection disputes with customers or suppliers of goods and services;
    F. Compromise of bankruptcy claims;
    G. In the context of mortgage foreclosure cases, liens for lot-clearing, code enforcement violations, other civil fines, and judgments of record;
    H. Settlements of claims or litigation;
    I. Releases of paid assessment and time payment agreement liens;
    J. Claims, suits or demands based on employment or civil rights laws;
    K. Permit fee disputes; and
    L. Tort and workers' compensation claims.

2. Regarding claims against the City of Panama City, the above-delegated authority is limited to cases or situations where a claimant has or appears to have plausible allegations and as to which the City has or may have exposure to liability under the law and as to which the amount in controversy does not exceed $1,000,000.00.

3. The City Manager may further delegate the authority granted in this section to members of their staff, which must be done in writing.

4. The City Manager shall present any proposed settlement of amounts exceeding the above limit to the City Commission for approval.

5. The City Manager may include a summary of settlements made under this delegated authority to the City Commission in an annual report.

PURCHASE ORDER PROCESS

A purchase order is required for the purchase of goods and services for $3,500 or more, unless the purchase of goods or services is governed by a written contract or exempt from issuing a purchase order as authorized by this manual.

1. A purchase order to purchase goods and services must have the appropriate documentation and be approved by the appropriate authority level before the Purchasing Division will facilitate the purchase order process. The following information shall be provided with the purchase order:

    A. Name, Department, and individual requesting materials.
    B. Vendor name (if a new vendor, the Department will assist the Purchasing Division to establish a new vendor account with the Accounting Department).
    C. Fund/account number.
    D. Total amount of order.
    E. Contract and proposal number (if applicable).
    F. Department purchasing authority signature.
    G. Quantity, unit size, catalog or part number, description, unit cost, and total cost of items.
    H. Remarks (in body of requisition) - this is for further breakdowns in fund/budget/line-item numbers and any special "ship to", "bill to", or project information.
    I. Complete Deliver To line and Delivery Date desired.
    J. All back up documentation to substantiate the costs including but not limited to quotes (if applicable), notes and/or other documents.

2. The purchase order request is completed by the requesting department and entered into New World or the current financial management system in effect.
3. Any software or computer-related purchase (hardware or software) must be **pre-approved** by the IT Manager or designee. Unapproved software will be blocked from City computers.
4. Distribution of purchase order copies will be emailed by the Purchasing Division once final approval has occurred.
5. The splitting of purchases, to circumvent the above purchase limits, shall be avoided without exception.

AFTER-THE-FACT PURCHASES

Any purchase made outside the City's Purchasing Policy and prior to the issuance of a purchase order or required approval is considered an after-the-fact purchase.

PROCEDURES

1. All bidders are on notice not to perform any service or deliver any commodities without a duly authorized Purchase Order. The City is not liable for payment of any commodities or services received without a Purchase Order.
2. Purchasing Division will include language on each Purchase Order that commodities or services provided without a purchase order will not be an obligation of the City.
3. If a purchase exceeding the established procurement single transactions limit occurs outside of the standard purchasing process and ratification of the purchase is sought, the requesting department

must submit to the Purchasing Division a written memorandum signed by the Department Director containing the following information.

   A. The circumstances that resulted in an after-the-fact purchase.
   B. The necessity of the purchase and its public purpose.
   C. Evidence that the price charged was fair and reasonable and,
   D. Actions taken by the department to preclude recurrence of the after-the-fact purchase.

4. Any violation of the Purchasing Policy can result in:
   A. Revocation of purchasing authority and ability.
   B. Reimbursement from employee to the City for any personal items purchased via a purchase order.
   C. Individuals attending additional training by the Purchasing Division.
5. Recurring occurrences of after-the-fact purchases will be tracked and reported to City Management.
6. A check request form will be required with the Department Director's signature, along with an explanation in writing as to why the purchase/procurement and/or Purchase Order process was **not** followed.
   A. Such explanation will be routed to the Purchasing Division prior to final signature authority.

CHECK REQUESTS

An electronic check request form must be filled out with appropriate departmental signature authorization and sent to the Purchasing Division. Checks will not be issued without a correctly completed and Accounting Department approved W-9. The execution of all signature authorizations will be required before payment can be rendered. These check requests will apply to the purchase of goods or services that are:

1. On the exception and exemptions list.
2. An after-the-fact purchase. (*see pages 29/30)*
3. Exclusions for issuing purchase orders. (*see page 31*)
4. Emergency Purchases.

BLANKET PURCHASE ORDERS

A blanket purchase order is an "open end" contract which designates one company as the supplier for items frequently needed by a specific department. A blanket purchase order is issued for a period of time no less than one quarter and not to exceed one year or beyond the current fiscal year end. A blanket purchase order allows a department to make multiple purchases with one purchase order number, limited by the time period allowed and the specified dollar amount as indicated on the blanket purchase order.

1. It is the responsibility of the Department Director to ensure invoices or receipts are acquired and properly sent to the Accounting Department. All department-issued blanket purchase orders will be notified in writing by the Purchasing Division of the PO number, amount, and "good through" dates.
2. Those departments issuing quarterly, or annual purchase orders will be asked to account for their expenditures on an individual basis.

3. Blanket purchase orders should only be used for **operating** expenditures and may not be used for **capital** expenditures. Any purchases of capital expenditures made with a blanket purchase order will be denied.

4. Each department must have their own blanket purchase order when purchasing from the same vendor for accounting purposes.

EXCLUSIONS FOR ISSUING PURCHASE ORDERS

There are certain expenditures for which the processing of a Purchase Order or contract is unnecessary. The following purchases may be made without Purchase Orders or contract. Invoices should be signed by the designated department employee.

1. Utility, Telephone Bills, etc.
2. Insurance Premiums.
3. Interdepartmental billing such as worker's compensation premiums and other insurance premiums.
4. Petroleum Products (Fuel-Gas/Diesel).

PURCHASING QUOTES

The purchase of goods and services, between $3,500 and up to $100,000, shall require requested comparative quotations from three (3) or more separate vendors, unless a specified exemption exists (*See Exceptions and Exemptions section*). The quotations may be obtained by the requesting department or the Purchasing Division. Quotes must be on company letterhead, quote forms, or in a similar format with a date and signature of an authorized representative of the department or vendor. Before any order is placed, an approved purchase order must be obtained, and appropriate signatures are required.

If requesting department cannot obtain three (3) separate quotes from three (3) separate qualified vendors, a Minimum Quote Certification Form (See Exhibit B) will need to be completed, signed by the Department Director, Senior Manager, Assistant Director, or Deputy Director and attached in New World, or the financial management system in effect at the time, to the purchase order request.

COMPETITIVE SOLICITATIONS

1. The requesting department, in conjunction with the Purchasing Division, will determine which competitive procurement method is most practical and advantageous to the City.

   Those methods may be by:

   A. Invitation to Bid. (ITB)
   B. Request for qualifications pursuant to Consultant’s Competitive Negotiation Act

(CCNA) or those not governed by the CCNA.

C. Request for proposals. (RFP)
D. Sole source procurement.
E. Design-build services contract in accordance with the CCNA and after coordination with the City Manager or designee.
F. Request for qualification for construction management at risk services; or
G. Multi-step bidding, including pre-qualification of respondents, if necessary or required.

2. Goods and services produced in the United States will be given preference when all other aspects in the bid selection process are equal.
3. It will be the objective of the City of Panama City to consolidate for purchase and bidding, all goods, and services of a similar nature.
4. The City of Panama City is an Equal Opportunity Employer. To the extent permitted by law, as a condition of conducting business with the City, all individuals or organizations desiring to do business with the City shall have an Equal Opportunity Employment Policy consistent with state and federal law.
5. All competitive solicitations should include the following provisions:

> "**The City of Panama City reserves the right to accept or reject any and all bids, proposals, competitive or otherwise, in whole or in part, to waive minor informalities in the solicitation documents, to obtain new bids, or to postpone the bid opening pursuant to the City's purchasing policies as they may deem in the best interest of the City**."

A. The period of time responses are valid after the date of the opening.
B. Public Entity Crimes Statement pursuant to Section 287.133(3)(a), Florida Statutes.
C. The number, duration and condition of any intended renewal periods.
D. If predictable, an estimated time for contract award.
E. The basis for award.
F. Procedures to award when tie bids are received.
G. All other requirements of the solicitation or related funding agreements.

6. The requesting department, in conjunction with the Purchasing Division, will formulate specifications.
7. The requesting department shall provide cost estimates to the Purchasing Division.
8. The Purchasing Manager will be advised if funds are available. If funds are not available, the requesting department is responsible for requesting any fund transfers and for notifying the Purchasing Division when completed (as soon as possible).
9. Federally funded projects will follow Federal procurement standards in the "Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards", 2 C.F.R. Sections 200.213 and 200.317-326.
10. The Purchasing Division shall determine the date, time, and location for submitting bids, as well as the date, time and location of the Public Bid Opening.
11. The Purchasing Division will advertise the request for bids on the Bay County Public Notice Website, the City's website and may advertise on third-party bid solicitation service(s), at least ten (10) calendar days prior to when vendor(s) are required to respond. Projects projected to be valued at over $200,000 will be advertised for at least twenty-one (21) days prior to responses being due. Projects projected to be valued at over $500,000 will be advertised for at least thirty (30) days prior to responses being due. The Purchasing Division is responsible for determining the proper advertisement requirements and adhering to those

requirements. See Florida Statute 255.0525 and Florida Statute 50.0311 for publication of advertisements on a publicly accessible website in lieu of publication in a newspaper of general circulation.

12. The Purchasing Division will distribute bid documents.
13. If a bid or proposal requires payment for a copy of the bid or proposal, the Purchasing Division shall collect such payment before releasing a copy of the bid or proposal package.
14. Acceptance and Evaluation. Responses shall be accepted without alteration or correction, except as authorized in this manual. Responses shall be evaluated based on the requirements set forth in the solicitation document, which may include, but are not limited to, criteria to determine acceptability such as: inspection, testing, quality, recycled or degradable materials content, workmanship, delivery, and suitability for a particular purpose and/or factors to determine a respondent's level of responsibility such as references, work history, bonding capacity, licensure, certifications, etc. Those criteria that will affect the price and that are to be considered in evaluation for award shall be objectively measured, such as discounts, transportation costs, and total or life-cycle costs. No criteria may be used in an evaluation that is not set forth in the solicitation, or in this manual.
15. After the opening, the Purchasing Division will notify any respondents of any informalities in their response. They will have twenty-four (24) hours from the time of the notification to furnish the requested information to the Purchasing Division. If the opening is on a Friday, they will have until Monday (5:00pm CT) to reply. If no response is received within twenty-four (24) hours of the notification, the package will be deemed non-responsive.
16. The requesting department will attend the opening and will review the submitted responses to ascertain the responsive, responsible respondent in accordance with the solicitation document that provides the best value to the City. All responses will be opened in public, and prices will be read aloud by the Purchasing Division, as applicable to the solicitation.
17. The Purchasing Division or the requesting department will place the item on the Commission agenda for approval if amounts exceed $100,000 or otherwise as required by law, statute, or the Municipal Code.
18. The Purchasing Division will post the award decision, and issue a Notice of Award, when necessary, after the bidding and selection process is totally complete.
19. The Purchasing Division, in conjunction with the requesting department, is responsible for conducting any pre-construction meeting, if necessary, and issuing a Notice to Proceed after the full execution of any contract or agreement for a project that has been approved by the City Attorney or designee.
20. Solicitations may be canceled or rejected in whole or in part when it is in the best interest of the City, as determined by the City Manager or designee. Notice of cancellation shall be posted on the City website. The notice shall identify the solicitation, and, where appropriate, explain that an opportunity will be given to compete on any re-solicitation or any future procurement of similar items.
21. If less than two (2) responses are received in response to a solicitation, the Purchasing Manager and/or the Logistics Director may negotiate, in coordination with the City Attorney, on the best terms and conditions. The Purchasing Division shall document the reasons that such action is in the best interest of the City in lieu of resoliciting.

WRITING SPECIFICATIONS – INVITATION TO BID

1. Solicitations must include specifications that are clear, accurate, and complete. Unnecessarily restrictive specifications or requirements that might unduly limit the number of bidders or proposals are prohibited. The solicitation should include all documents, whether attached or incorporated by reference, that are elements of the specifications and requirements for the solicitation.
2. Specifications are written descriptions of needed supplies, equipment, or services, clearly and concisely set out in the solicitation along with other material elements of the particular project. Alternative specifications are highly discouraged.
3. There are several types of specifications that can be considered:

A. Performance Specifications
   (1) The results of the product are more important than the product itself.
   (2) Specific end product capabilities, not method of construction.

B. Descriptive Specifications
   (1) Describes precisely what is needed.
   (2) Covers every detail to the end product.

C. Brand Name Specifications
   (1) Specified by manufacturers name and model number.
   (2) A product has been determined desirable based on past performance.

D. Closed Specification
   (1) Two general types.
      a) Single Product - e.g., HP computers
      b) Multi product - e.g., HP computers, Dell computers
   (2) General brand name specifications.

E. Open Specifications
   (1) All manufacturers whose product meets the performance or description specified may bid.
   (2) All performance specifications and all descriptive specifications are open specifications.
   (3) Brand name specifications are open specifications if the phrase “or equal” is added.
   (4) The phrase “or equal" establishes the brand name as a standard, and all equal products are acceptable.

F. Reference Specifications
   (1) The item desired is referred to by a number as established in a published specification or standard.
   (2) Should use national specifications and standards.
   (3) Be sure to read and understand what is referenced.
   (4) A reference specification may include a number of different items. Be specific.

G. Combination Specifications
   (1) Not possible to combine open and closed specifications.
   (2) Can combine performance, descriptive, and reference specifications.
   (3) Used in describing a product that must meet both physical and performance criteria.
   (4) Be positive the combination will produce the desired result.

4. The requesting department and the Purchasing Division are responsible for ensuring that the specifications include the following elements:
   A. Description of the item to be purchased or a sufficient explanation of the services to be procured.
   B. Dimensions, tolerance, and performance expected of the item.
   C. Reference to a sample, if any.
   D. Bid price is to include net delivered price or no separate charges for delivery or other hidden cost.
   E. The estimated quantity to be furnished by the vendor.
   F. Time and place of delivery, and any conditions for the delivery.
   G. If additives to a bid are to be considered, all details must be included.
   H. If trade-in(s) is involved, the appropriate information must be included.
   I. Pre-qualification requirements, if any. All contractors bidding on road projects shall be certified with the Florida Department of Transportation.
   J. Bid, performance, and construction bond requirements, depending on the goods or services to be provided and the recommendation of the Risk Management Office.
   K. If direct purchases will be used, the specifications should include direct purchase procedures.
   L. Liquidated damages, if applicable.
   M. The date and time requested for a pre-bid conference, if applicable.
   N. The date and time requested for a notice to proceed date, if applicable.
   O. The position title and a brief explanation of the duties of the City's representative(s) for the project.
   P. The types and estimated timeframes for any inspections of the project to be conducted by the City's representative(s), if applicable.
   Q. For federal projects, the requirement to make maximum use of recovered/recycled materials.

MULTI-STEP SOLICITATIONS

Vendors may be prequalified as part of a multi-step solicitation based on such factors including, but not limited to, experience, financial capability, reputation, and management. The pre-qualified vendors may then be allowed to submit bids/proposals in response to the solicitation. Pre-qualification is not a conclusive determination of responsibility, and a pre-qualified vendor may be rejected as non-responsible at a subsequent stage in the procurement process.

CONSULTANTS COMPETITIVE NEGOTIATION ACT

The purpose of this section is to ensure compliance with Section 287.055 Florida Statutes, known as the Consultants Competitive Negotiation Act (CCNA), as it may be amended from time to time. Architectural, engineering, landscaping architectural, registered land surveying, and registered

mapping services are required to be requested through a Request for Qualifications in accordance with the CCNA.

1. Public Announcement

   It is the policy of the City to publicly announce all requirements for professional architectural,engineering, landscape architectural, land surveying, and mapping services, and to negotiate such contracts on the basis of demonstrated competence and qualifications at fair and reasonable prices. In the procurement of such services, the Purchasing Division may require firms to submit a statement of qualifications, performance data, and other information related to the performance of professional services.

2. Scope of Project Requirements

   A. For specific projects, the City department requesting the professional services shall submit to the Purchasing Division written project requirements indicating the nature and scope of the professional services needed by the requesting department, including but not limited to the following:
      (1) the general purpose of the service or study.
      (2) the objectives of the study or service.
      (3) estimated period of time needed for the service or the study.
      (4) the estimated cost of the service or study.
      (5) whether the proposed study or service would or would not duplicate any prior or existing study or service; and
      (6) the desired qualifications, listed in order of importance, applicable to the scope and nature of the services requested.

   B. For Continuing Services, the City department requesting the professional services shall submit to the Purchasing Division, written project requirements indicating the nature and scope of the professional services needed, including but not limited to the following:
      (1) the general purpose of the service or study.
      (2) estimated period of time needed for the service or the study.
      (3) the estimated cost of the service or study.
      (4) the desired qualifications, listed in order of importance, applicable to the scope and nature of the services requested.

3. Review of Project Requirements

   The Purchasing Division shall review the scope of project requirements and prepare a draft Request for Qualifications. The draft Request for Qualifications shall be submitted to the requesting department for consideration and revision, as may be needed, prior to public distribution of the Request for Qualifications.

4. Distribution of Request for Qualifications

   The Purchasing Division can distribute the Request for Qualifications in accordance with standard procedures, including publication of legal notice, and provide notification of the date and time when such quotes are due.

5. Exemptions

   This section shall not apply to any requirement for professional services if a continuing services contract is in effect and a determination is made to utilize the continuing contract to obtain such services in accordance with 287.055(2)(g), Florida Statutes, where the

estimated construction cost of each individual project under the contract does not exceed $7.5 million as it may be amended yearly on July 1st, per Florida Statute 287.055, or for a study activity if the fee for the professional services for each individual study does not exceed $500,000.00.

6. Evaluation

The following language shall be used in its substantial form in solicitations where evaluations are required. The solicitation document shall specify evaluation procedures.

A. The City Manager or designee shall determine the Evaluation Group that will best serve the needs of the City.
B. Contact with the Evaluation Group. Members of the Evaluation Group are prohibited from discussing a project with any professional or professional firm that may submit a proposal during the procurement process, except in formal meetings as stated in section E. Presentations/Interviews.
C. Evaluation of Proposals. Only written responses of statements of qualifications, performance data, and other data received in the purchasing office by the publicized submission time and date shall be evaluated.
D. The initial ranking of proposals is based upon the criteria specified in the solicitation.
E. Presentations/Interviews. The Evaluation Group may choose to conduct formal presentations/interviews with firms prior to final ranking. Any presentation/interview that is not open to the public shall be recorded and nothing shall be off the record. These recordings remain exempt from public disclosure until after the award.
F. Final Ranking. The Evaluation Group shall use the ordinal process to rank the firms at a publicly noticed meeting. The respondents shall be listed in order of preference. The list of best-qualified respondents shall be forwarded to the City Manager or the City Commission, as appropriate, for approval prior to beginning contract negotiations.

7. Negotiation

Contract negotiations may be conducted by the requesting department or by a Negotiation Group to be determined by the City Manager or designee.

A. Negotiation Group. Membership of the Negotiation Group may include:
   (1) Purchasing Manager or designee,
   (2) Agent of the requesting department or designee,
   (3) City Attorney or designee.
B. Negotiation. The Negotiator(s) shall negotiate a contract with the firm considered to be the most qualified to provide the services at compensation and upon terms which the Negotiator(s) determines to be fair and reasonable to the City. In making this decision, the Negotiator(s) shall consider the estimated value, the scope, the complexity, and the professional nature of the services to be rendered. Should the Negotiator(s) be unable to negotiate a satisfactory contract with the firm considered to be the most qualified, negotiations with that firm may be formally terminated. The Negotiator(s) shall then undertake negotiations with the second most qualified firm. Failing with the second most qualified firm, the Negotiator(s) may formally terminate

negotiations, and may then undertake negotiations with the third most qualified firm. Should the Negotiator(s) be unable to negotiate a satisfactory contract with any of the selected firms, the Selection Group may select additional firms in order of their competence and qualifications, and the Negotiator(s) may continue negotiations in accordance with this Section until an agreement is reached or until a determination has been made not to contract for such services.

DESIGN-BUILD CONTRACTS

1. Use of Design-Build Contracts (See F.S. # 287.055)
   The requesting department will determine if the design-build method is appropriate for a particular requirement subject to approval by the City Manager or designee. In determining whether design-build or contracting separately for professional design and construction services is in the best interest of the City, the following factors should be considered:
   A. The potential for cost savings and/or cost reduction.
   B. The need or potential for reducing the time to complete the project.
   C. The need or potential for enhancing revenue production by expediting completion, activation, and operational use of the project.
   D. The need or potential to expedite the completion, activation, and operation of the project due to public service considerations or user department operational needs and requirements.
   E. The potential for collaboration to develop designs and construction methodology that could provide a project with enhanced qualities of aesthetics, innovative use of materials, economy of construction, operational efficiency, and/or functional effectiveness.
   F. The need or potential for protecting, preserving, and enhancing the health, safety and welfare of the public.
2. Design Criteria Package (DCP)
   A DCP must be prepared and sealed by a design/engineer professional on staff or retained by the department. A design criteria professional who prepares the DCP is not eligible to render services under the same design-build contract that utilizes the DCP.

3. Review and Evaluation
   The Evaluation Group shall review and evaluate all submittals that have been received prior to the announced deadline at a publicly noticed meeting. This evaluation shall include a determination that the firms submitting proposals meet the design-build firm definition. Qualifications of the firm and project manager shall be considered for the design team, as well as the construction team. The group shall select no fewer than three design-build firms as the most qualified, based on the qualifications, availability, and past work of the firms, including the partners or members of the firms.

4. Technical and Price Proposals
   When using an adjusted score method, the selected design-build firm shall be required to submit a technical and price proposal. These proposals shall form the

basis of contract negotiation and award of the design-build contract.

5. Design-Build Contract Award

   The Evaluation Group shall submit a recommendation for award to the City Manager or designee for selection of one firm and two ranked alternates, and approval to negotiate and award a design-build contract with the selected firm, provided the final negotiated price does not exceed the project budget. Prior to award and execution of the design-build contract, the City may negotiate minor changes in the technical proposal and contract price for the purpose of clarifying and/or refining the project requirements and the services to be performed and/or the work to be done.

PIGGYBACK

Departments may request to piggyback on contracts for goods and services with other governmental entities, except for emergency purchases. The following must be submitted as a part of the request and specifications package:

1. A copy of the other agency's solicitation to include the awarded vendor's submittal.
2. A copy of the other agency's Purchase Order or contract and expiration date.
3. A letter from the awarded vendor, offering to honor the same prices under the same terms and conditions as indicated in the other agency's solicitation and subsequent contract.
4. Verification from the other agency that the vendor is performing satisfactorily.
5. Evidence and documentation of the procurement method used by the other agency.

SOLE SOURCE/NON-COMPETITIVE NEGOTIATIONS

Non-competitive selection of vendors and non-competitive purchasing may be used as a procurement method for purchases of products or services when available from only one source (sole source), or when it is determined by the City Manager, unless otherwise delegated, that there is only one practicable and reasonable source wherein competitive bidding is not feasible or not advantageous to the City.

The Purchasing Division may negotiate and use a sole source/non-competitive supplier or vendor if one or more of the following justifications exist:

1. The item is a component or replacement part for which there is no commercially available substitute and can be purchased only from the manufacturer, sole distributor, or provider.
2. Compatibility is the overriding consideration.
3. A statement that describes why there is only one qualified sole source and a list of how many attempts and to who alternative sources were made.
4. A noncompetitive purchase will result in verifiable financial savings to the City.
5. The needed product or service is available from only one known source, and such determination has been made by the Purchasing Manager or Logistics Senior Manager.
6. The product or service is wanted for experimental trial/pilot or testing (Non-

Competitive Purchase).
7. The product is purchased for resale.
8. Additional products or services are needed to complete an ongoing vital task (Non-Competitive Purchase).
9. A product or service is purchased from, or a sale is made to, another unit of government.
10. The needed product or service may be available from more than one source. However, due to documented advantages such as uniqueness, vendor qualifications, timeliness, etc., a non-competitive purchase may be initiated when such determination has been justified that there is only one practicable and reasonable source, with confirmation by the Purchasing Manager or the Logistics Director.
11. Funds have become readily available through a grant process and must be spent in a time frame that does not permit competitive bidding.

The requesting department must complete the sole source provider form (See Exhibit A) including, appropriate signature(s), and provide it to the Purchasing Division with the request for procurement.

RENEWAL AND EXTENSION

Renewals are pursuant to contract terms specifically providing for such renewal. Contract renewal options approved by the City Commission may be executed by the City Manager or designee.

TIE BIDS

In the event of a tie bid, the Evaluation Group shall hold a public meeting and conduct a thorough review of the bid documents to determine if the bids are indeed tied. The meeting shall be publicly noticed as required by law. Members of the Evaluation Group shall not consult with one another regarding the tie bids, except at the public meeting. Award recommendations shall be based upon bid criteria, delivery dates, reputation of the vendors involved, past performance, and location of the vendor. If all factors and conditions relating to the bids are equal, then the awarding of the bid will be determined by a flip of a coin, facilitated by the Purchasing Division, with all appropriate and relevant parties in attendance, unless attendance is otherwise waived by a relevant party.

CHANGE ORDERS

After a contract has been approved by the City Commission or the City Manager, if a change order is required to correct errors, omissions, or discrepancies, or to direct other changes to meet unforeseen field, emergency, climatic, regulatory, or market conditions, the following shall apply:

1. All change orders must be in writing and include the additional scope of work or quantities, the amount of the change order, and any additional days added to the term or delivery date.
2. Change orders, deductive or additive, exceeding a cumulative total of ten percent

(10%) of the contract price or a cumulative cost exceeding $100,000, whichever amount is less, or where there is a materially significant change in the scope of services, the change shall be approved by the City Commission. If an amount is approved by the City Commission as a contingency amount, then once deductive or additive change orders exceed the cumulative amount of the contingency, the change shall be approved by the City Commission.

3. If direct purchasing is being utilized in connection to a construction project, a deduct change order to the contractor in the amount of the direct purchase shall be made in writing.
4. If the project is unable to proceed without the immediate approval of a change order, the City Manager has the authority to approve the change order and bring it before the City for ratification, as required, at the next regularly scheduled Commission meeting with documented explanation of the condition.

LOCAL PREFERENCE

Local preference shall not be used for any formal competitive solicitation or bid.

BID PROTEST PROCEDURES

In any competitive solicitation context, no later than seventy-two hours (72) following the day approval is granted, the Purchasing Division will electronically notify the representative of each respondent of the award decision. Notification of an award does not constitute formation of a contract.

After notification of the award decision, any party with standing may challenge the decision by initiating an action in the Circuit Court of the Fourteenth Judicial Circuit in and for Bay County against the City of Panama City. If a party intends to initiate such an action, it must electronically notify the Purchasing Manager and the City Attorney no later than one (1) business day after the award. If no such notice is received by the City, the City may proceed to execute a contract to formalize the award decision. If the City does receive notice of intent to challenge the decision, the City will stay the contracting process, unless the City Manager or designee determines that the contract must proceed without delay to protect substantial interests of the City. If a party notifies the City of its intent to challenge a decision under this subsection, it must file its challenge within five (5) business days after providing its notice with the 14th Judicial Circuit Court in and for Bay County. If the party fails to file its action within this period, the City may proceed with the contracting process as if no challenge was received. If the party files its action, the Court will uphold the City's decision unless the Court determines that the awarding authority did not act in good faith and the challenger demonstrates illegality, fraud, oppression or misconduct by the City or anyone acting on the City's behalf.

No action other than an award decision can be protested, including (i) requests for quotations or requests for qualifications; (ii) rejection of some, all or parts of bids or proposals; (iii) disqualification of bidders as non-responsive or non-responsible; or (iv) recommended awards less than the mandatory bid or proposal amount.

PURCHASING CARD (P-Card)

1. PURPOSE/OBJECTIVE

   A. To provide City personnel with the ability to secure products and services, with costs no greater than $3,499.99, as required, specific to their roles in serving the public. The P-Card program allows for a streamlined, prompt, and transparent response to those needs.

2. AUTHORIZATION

   A. All P-Card requests are initiated by the Department Director. Department Directors will also recommend the spending limit associated with each card they request.
      (1) Spending limits require approval by the Logistics Director or the Assistant City Manager.
      (2) The Purchasing Card Administrator (PCA) will set up P-Card accounts, provide training to P-Card holders, make alterations as requested, and be the liaison between the bank (or financial institution), the department and the P-Card holder.

3. RESPONSIBILITIES

   A. The cardholder is responsible for the following:
      (1) P-Card Security.
      (2) Adhering to P-Card policies.
      (3) Obtaining and submitting all relevant Receipts.
   B. The Departmental Purchasing Card Representative is responsible for the following:
      (1) Ensuring all departmental transactions comply with the P-Card policy.
      (2) Reconciliation of monthly statements with the cardholder.
   C. The Department Director is responsible for the following:
      (1) Requesting P-Cards and establishing spending limits.
      (2) Designating P-Card representatives.
      (3) Ensuring departmental compliance with all P-Card policies.
      (4) Approving transactions in Bank of America Works, or other financial institution managing the P-Card program monthly by the 5th.
   D. The Accounting Department is responsible for the following:
      (1) Flagging and reporting questionable expenditures.
      (2) Balancing Bank P-Card transactions with the master statement.
      (3) Processing payment by the 25th of the month.

4. LIMITS AND RESTRICTIONS

   A. The P-Card is for official City business only.
   B. All items paid for with the P-Card are the property of the City of Panama City.
   C. Fuel may only be purchased in the following instances:
      (1) For City vehicles on authorized City trips outside of Bay County;
      (2) For an approved rental car on an authorized City trip outside of Bay County;
      (3) For Undercover Police Officers;
      (4) For City equipment, when emergencies with rental equipment or unforeseen times warrant the need to purchase fuel, instead of using the City's fuel facilities.

5. RESTRICTED ITEMS

A. The following types of items may **NOT** be purchased on a P-Card, regardless of the dollar amount:

(1) Cash advances.
(2) Purchase of goods or services for personal benefit/gain.
(3) Recurring maintenance, rental or lease of equipment that exceeds $1,500 per year unless prior approval is received by the Purchasing Division.
(4) Alcoholic beverages or tobacco products.
(5) Entertainment expenses.
(6) Utilities (i.e., telephone services, cable, electricity).
(7) Merchants Rebate – purchases that merchants offer a rebate for must be processed through a Purchase Order.
(8) Travel costs for a City traveler's companion, i.e., airline tickets, even if the traveler is reimbursing the City.
(9) Travel meals are not to be purchased on the P-Card. In all cases, per diem rates must be used and requested in accordance with the City's travel policy.
(10) Travel perks such as spas, movies, or mini bar contents purchased by the traveler for personal use.
(11) Purchases from vendors that create a conflict of interest.
(12) Any software or computer-related purchase (hardware, software, or online services) **not** pre-approved by the IT Manager or designee. Unapproved software will be blocked from City Computers.
(13) Any additional goods or services specifically restricted by Federal Law, Florida Statutes, the City Manager or their designee, your Director, the City's budget, or the Employee Handbook.
(14) Any other purchase deemed prohibited by the respective Department Director or Assistant City Manager.

6. COMPLETING TRANSACTIONS WITH VENDORS

A. Telephone/Email Orders

(1) The Cardholder must confirm that the vendor agrees to charge the P-Card when shipment is made so that receipt of the supplies or service may be certified on the monthly billing statement.
(2) Make sure the vendor understands that charges are not to be billed until the item has been shipped.

7. TAXES

A. Most purchases are exempt from sales tax. The tax-exempt identification number is listed on the face of the P-Card.
B. The City is required to pay sales tax on fuel, airline fees, and resort/tourist taxes.

8. CREDITS AND RETURNS

A. Merchandise returned to the vendor must be credited to the City's account to which the transaction was charged. **Cardholders are <u>not</u> authorized to receive a cash payment or store credit for returned merchandise.**

9. SUSPENSION AND ACCOUNTABILITY

A. Suspension is a progressive step policy and may be put into effect due to:
   (1) Failure to submit proper documentation to the PCA or departmental P-Card representative by the established deadlines.
   (2) Lost receipts.
   (3) Inappropriate purchases of goods or services.
   (4) Purchases that exceed the Cardholder's established P-Card limits for single item purchases.
   (5) Circumventing established single transaction limits by "splitting" purchases into multiple transactions.
   (6) Keeping a rebate or refund from a vendor, bank, or other financial institution for personal use.
   (7) Acceptance of a cash refund in lieu of credit to the P-Card account.
   (8) Failure to report a lost or stolen P-Card.
   (9) Purchases from vendors that create conflicts of interest.

B. Depending on the severity of the offense, the first offense could result in permanent revocation of card privileges. The cardholder's Department Director, Senior Manager, Assistant Director, or Deputy Director may take disciplinary action beyond the steps listed here.
   (1) **First Offense**: the PCA will send a written notification to the cardholder and their Department Director, Senior Manager, Assistant Director, or Deputy Director.
   (2) **Second Offense**: the PCA will send a written notification to the cardholder and their Department Director, Senior Manager, Assistant Director, or Deputy Director and suspend their card privileges for a period of up to three (3) months.
   (3) **Third Offense**: the PCA will send a written notification to the cardholder and their Department Director, Senior Manager, Assistant Director or Deputy Director and their card privileges will be permanently revoked.

C. Department Directors will be notified when approvals on the bank website are not completed by the 5th of the month and all cards may be suspended for that department until compliance is complete.

10. RECORDKEEPING AND RECEIPTS

A. When an allowable food or meal has been purchased, the itemized, detailed receipt must include the names written down of the people or group of people who ate, along with the City event, or the reason the employees were prevented from seeking a meal on their own time.
B. In the event all efforts to obtain documentation of a transaction have failed, the cardholder must attach a written description of the purchase along with a signed statement that the purchase was made in accordance with the City's P-Card policy. Failure to provide a statement may result in loss of the card and/or disciplinary action and the employee may be required to pay the City for the undocumented expense.
C. Repeated occurrences of lost receipts may result in suspension or revocation of the P-Card.

FEDERAL PROCUREMENTS

When property or services are procured using funds derived from a Federal grant or agreement (whether directly to the City or "pass-through" from another entity such as the State), the City is required to and will follow the Federal procurement standards in the "Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards", 2 C.F.R. Sections 200.213 and 200.317 through 200.326. All procurements must be conducted in a manner that provides full and open competition.

Micro-purchases of $10,000 or less do not require competition or a cost/price analysis provided the City considers the price reasonable. Small purchases, $10,000 to $250,000, require price and rate quotes from an adequate number of qualified sources. Sealed bids, competitive proposals and noncompetitive proposals may be used pursuant to the requirements of 2 C.F.R. Section 200.320.

1. It is the responsibility of the requesting department to notify the Purchasing Division whether federal funds will be used on any project and of any special conditions that are imposed upon the City through such federal funding.
2. The City shall use the same procedures as otherwise contained in this Purchasing Manual to the extent that they do not conflict with the Federal procurement standards. The requirements of 2 C.F.R. Sections 200.213 and 200.317 through 200.326 will apply in the case of a conflict. Applicable Davis-Bacon wage determinations must be submitted by the requesting department, along with the technical specifications. Departments should ensure that Federal grant requirements do not prohibit the use of previously awarded vendors. The following additional procedures shall apply:

A. Equipment.

Management and disposition of equipment purchased with funds deriving from Federal grants shall be in accordance with 2 C.F.R. Section 200.313. All property acquired must be used for federally authorized purposes until project funding ceases or until the property is no longer needed for the project and shall not be encumbered without approval of the federal awarding agency. Property will be managed and disposed of as follows:

(1) Property records will be maintained that include a description of all federally funded equipment, a serial number, the source of funding including the FAIN, record of title, the date of acquisition, the cost, the percentage of Federal participation in the purchase, the property location, use and condition, and the ultimate disposition of the property.

(2) A physical inventory of the property will be taken, and the results will be reconciled once every two (2) years.

(3) The City's existing and customary property control system will be utilized to ensure against loss, damage or theft.

(4) Property authorized for sale shall be sold in a manner ensuring the highest possible return.

(5) Surplus property no longer needed for its original purpose may be used for other federally supported activities.

(6) The City may sell or otherwise dispose of federally funded equipment with a current fair market value under $5,000 in accordance with current disposition policy.

(7) The City will request permission from the Federal granting entity prior to disposal of equipment with a current fair market value over $5,000.

B. Conflicts of Interest.

All City employees and officers are subject to the provisions of the Code of Ethics for Public Officers and Employees (Sections 112.311, Florida Statutes); Division 3, the Conflict-of-Interest provisions in this Manual and the provisions governing Federal conflicts of interest outlined herein.

For Federal procurements, no employee or officer of the City may participate in the selection, award, or administration of a contract supported by a Federal award if he or she has a real or apparent conflict of interest. Such a conflict of interest would arise when the employee, officer, any member of his or her immediate family, his or her partner, or an organization which employs or is about to employ any of the parties indicated above has a financial or other interest in, or a tangible personal benefit from a firm considered for a contract. Except as limited by City Policy 3.25, officers, employees, and agents of the City may neither solicit nor accept gratuities, favors, or anything of monetary value from contractors or parties to subcontracts. Any potential conflicts of interest must be disclosed, in a timely manner and in writing, to the Federal awarding or pass-through agency. The assigned Grant Coordinator for the federally funded project is responsible for making this disclosure. Please see the Grants Administration handbook, 1st Edition, Version 1.0 and City Policy 3.25 – Conflict of Interest.

In addition to the penalties provided in the Florida Statutes, a violation of any provision of the Code of Ethics for Public Officers and Employees; or this section, may subject an employee to disciplinary action up to and including discharge from employment.

C. Suspension and Debarment. The City is subject to the debarment and suspension regulations implementing Executive Orders 12549 and 12689, 2 C.F.R. Part 180.

The City may not enter into an agreement for property or services with an entity or person who has been disqualified (suspended or debarred) from participation in Federal programs or activities unless the Federal granting agency grants an exception.

The City shall take reasonable steps to determine whether any vendor, contractor or consultant is or has been excluded or disqualified from participating in such transaction. Prior to awarding any bid, the Grants

Coordinator shall check with SAMS EPLS to ensure that the bidder or subcontractors, if applicable, are not disbarred or suspended from working with federally funded contracts.

The City shall include a provision in all agreements requiring contractors, vendors, or consultants to comply with Part 180 when entering into covered transactions with subcontractors, sub-vendors and subconsultants, etc.

The City shall comply with all reporting requirements as mandated by the Federal granting agency.

D. Settlement of Procurement and Contract Disputes. Any person or entity wishing to dispute the award of a bid, acceptance of a proposal, other procurement of property or services, or the application or interpretation of a contract or agreement relating to property or services procured using Federal grant funds shall submit all relevant information to the Purchasing Manager. Protested awards shall follow procedures set forth in the City of Panama City Procurement Manual. For all other disputes, the Purchasing Manager shall review all information presented and shall conduct such further investigation as he or she deems appropriate under the circumstances. After review of all relevant information, the Purchasing Manager shall render a decision concerning the dispute, which decision shall be the final decision of the City. Persons not satisfied with the decision of the Purchasing Manager may proceed in accordance with Florida law.

E. Minority- and Women-Owned Business Enterprises. The City of Panama City does not discriminate on any basis within its procurement and contracting process and encourages the participation of minority- and women-owned business enterprises (collectively, “MBEs”). Within the limits of the U.S. Constitution, the City will consider the firm’s status as an MBE or a certified MBE, and also the status of any sub-contractors or sub-consultants proposed to be utilized by the firm, within the evaluation process. Interested MBEs and certified MBEs are encouraged to respond.

F. The City will take constitutionally permissible affirmative steps to assure that minority and women-owned businesses are used whenever possible.

Whenever feasible, the City will procure items designated in the guidelines of the Environmental Protection Agency (EPA) at 40 C.F.R. Part 247 that contain the highest percentage of recovered materials practicable, consistent with maintaining a satisfactory level of competition, where the purchase price of the item exceeds $10,000 or the value of the quantity acquired during the preceding fiscal year exceeded $10,000.

The City will procure solid waste management services in a manner that maximizes energy and resource recovery.

The City will maintain an affirmative preference program for procurement of recovered materials identified in the EPA guidelines. The City may consider the Minimum Content Standard, the Case-by-Case Standard, or a substantially equivalent standard, as set forth in the Resource Conservation and Recovery Act (RCRA) Section 6002(i)(3), as appropriate to any situation.

Contract Cost and Price. For every procurement in excess of $100,000, including contract modifications or change orders greater than $100,000, the City shall perform a cost or price analysis in connection with every procurement subject to Federal procurement guidelines, which shall include an independent estimate of cost prior to issuing bids or proposals. For proposals where price is not considered in the award, profit shall be negotiated as a separate element of the price. In determining whether profit is fair and reasonable, the City shall consider the complexity of work, the risk to be borne by the contractor, the contractor's investment, the amount of subcontracting necessary, the quality of the contractor's record and past performance, and industry profit rates for the surrounding geographical area. "Cost Plus Percentage" methods for determining profit may not be used.

3. Contract Provisions. All contracts or Purchase Orders must contain the applicable provisions required pursuant to Section 200.326 and Appendix II to Part 200 of the Code of Federal Regulations. These include, but are not limited to:

   A. Contracts in excess of $100,000 must address legal remedies in instances where contractors violate or breach contract terms and provide for sanctions and penalties as appropriate.

   B. Contracts in excess of $10,000 must address termination for cause and for convenience by the City.

   C. All contracts must include the Equal Employment Opportunity clause as provided in Appendix II; When required, all prime construction contracts in excess of $2,000 must include a provision for compliance with the Davis-Bacon Act, as supplemented, requiring contractors to pay laborers and mechanics at a rate not less than the prevailing wages specified in a wage determination issued by the U.S. Department of Labor, which determination must be included with all solicitations.

   D. Where applicable, all contracts in excess of $100,000 that involve mechanics or laborers must include a provision for compliance with the Contract Work Hours and Safety Standards Act, 40 U.S.C. 3701-3708;

   E. Where applicable, a clause requiring compliance with the Rights to Inventions made by Nonprofit Organizations and Small Business Firms Under Government Grants, Contracts and Cooperative Agreements, 37 C.F.R. Part 401;

   F. Contracts more than $100,000 must require compliance with the Clean Air Act and Clean Water Act and associated regulations.

   G. Contracts must include requirements concerning mandatory standards relating to energy efficiency as contained in Florida's Energy Conservation Plan.

   H. Contracts must include requirements that a contract award may not be made to debarred and suspended parties as listed on the Excluded Parties List System (EPLS) in System for Award Management (SAM).

   I. For contracts more than $100,000, requirements for compliance with the Byrd Anti-Lobbying Amendment.

J. Contracts must include a provision for compliance with the Copeland "Anti-Kickback" Act (40 U.S.C. 3145) as supplemented by Department of Labor regulations (29 C.F.R. Part 3, "Contractors and Subcontractors on Public Building or Public Work Financed in Whole or in Part by Loans or Grants from the United States") stating that each contractor or subrecipient must be prohibited from including, by any means, any person employed in the construction, completion or repair of public work, to give up any part of the compensation to which he or she

is otherwise entitled; Contracts for federally funded projects must include clauses required by Federal statutes and executive orders and their implementing regulations, including the provisions listed in Appendix II to 2 C.F.R. Part 200 – Contract Provisions for Non-Federal Contracts under Federal Awards.

INSURANCE REQUIREMENTS

The City Manager or designee shall determine what insurance, and conditions will be provided based on the type of goods or services to be purchased. Generally, any of the following insurance requirements may be included in a contract, lease, or agreement, as applicable:

1. Indemnification and Hold Harmless Agreement
2. Waivers of Subrogation
3. Additional Insured Endorsements
4. Deductibles and Self-Insured Retentions
5. **Liability Insurance Coverages** (all or some)
    A. Commercial General Liability
    B. Umbrella or Excess Liability
    C. Owners Protective Liability
    D. Automobile Liability
    E. Leased Employee Liability
    F. Garage Keepers Liability
    G. Watercraft Liability
    H. Host Liquor Legal
    I. Liquor Liability
    J. Aircraft Liability
    K. Pollution/Environmental Impairment Liability
    L. Professional Liability, Malpractice and/or Errors or Omissions
6. **Property Coverages**
    A. Property Coverage (leased property)
    B. Builders Risk Coverage
    C. Installation Floater
    D. Contractors' Equipment
7. **Workers' Compensation**
    A. Workers' Compensation Policy
    B. Employers Liability
    C. United States Longshoreman and Harbor Workers Act Coverage
    D. Alternate Employers Endorsement

8. **Other Requirements**
   A. Motor Truck Cargo
   B. Drug Free Workplace Program
   C. Sub-Contractor Agreements
   D. Fidelity/Dishonesty Coverage
   E. Bonding

FLORIDA PROMPT PAYMENT ACT

Payment for all purchases by the City shall be made in accordance with the contract or in accordance with the provisions of the "Local Government Prompt Payment Act," sections 218.70 – 218.79, Florida Statutes.

DIRECT PURCHASE

The City may elect to purchase materials and equipment included in any contractor's bid for a portion of the work directly from the supplier of such materials or equipment in order to achieve sales tax savings. Direct purchase language should be included in the solicitation documents if it may be applicable to the project.

The contractor shall submit to the City a list of materials and equipment suitable for consideration by the owner as direct-purchase materials. If the City elects to purchase any direct purchase materials, the contractor shall promptly furnish to the City, at least seven (7) days prior to the date such direct purchase materials are needed, a written cost estimate to purchase the approved direct purchase materials. Upon the City's receipt of the estimate and supporting materials, the City will review the same and, if approved, issue a purchase order directly to the supplier of the applicable direct purchase material. A copy of the Purchase Order will be sent to the vendor and contractor. The contractor shall fully cooperate with the City, providing verification of direct purchase orders, monitoring deliveries, obtaining delivery tickets and invoices. A deductive change order to the contract will be issued for the project to account for direct purchases.

EXHIBIT A **SOLE SOURCE FORM**

Non-competitive selection of vendors and non-competitive purchasing may be used as a procurement method for purchases of products or services when available from only one source (sole source), when at least one of the questions below are answered affirmatively.

1. Is the item a component or replacement part for which there is no commercially available substitute and can be purchased only from the manufacturer, sole distributor, or provider?

2. Do you have a statement that describes why there is only one qualified sole source and a list of how many attempts and to whom alternative sources were made?

3. The needed product or service is available from only one known source, and such determination has been made by the Purchasing Manager or the Logistics Director?

4. Is the product or service wanted for experimental trial/pilot or testing?

5. Is the product being purchased for resale?

6. Are these items additional products or services needed to complete an ongoing vital task?

7. Is this a product or service being purchased from another unit of government?

8. Is the needed product or service one that may be available from more than one source? However, due to documented advantages such as uniqueness, vendor qualifications, timeliness, etc., a non-competitive purchase may be initiated when such determination has been justified that there is only one practicable and reasonable source, with confirmation by the Purchasing Manager or the Senior Logistics Manager

9. Is the purchase being made with funds that have become readily available through a grant process and must be spent in a time frame that does not permit competitive bidding?

If you answered yes to any of the sole source questions listed above, list the exception number here, and please explain why your purchase or service fits the exception.

Date Department

Department Employee Print_____ Signature_____

Department Director / Logistics Director / Assistant Director / Deputy Director

Print_____ Signature _____

***** Signatures from the Department Director is required *****

EXHIBIT B

MINIMUM QUOTE CERTIFICATION FORM

Item(s) Requested:_____

_____

_____

Vendor/Contractor 1:_____

- Date(s) of Request(s):_____
- Time(s) of Request(s):_____
- Amount $_____

Vendor/Contractor 2:_____

- Date(s) of Request(s):_____
- Time(s) of Request(s):_____
- Amount $_____

Vendor/Contractor 3:_____

- Date(s) of Request(s):_____
- Time(s) of Request(s):_____
- Amount $_____

Department Director / Senior Manager / Assistant Director / Deputy Director

Signature: _____ Date: _____

Effective Date: October 1, 2021

Adopted Date: October 12, 2021

Revised Date: April 8, 2022

Revised Date: October 17, 2022

Revised Date: March 1, 2025

Revised Date: October 28, 2025